



Tukituki River, Hawkes Bay Raewyn Peart

EDS Investigates: Freshwater ambushed

How legislative shortcuts weakened New Zealand's freshwater protections and undermined democracy

Few countries wear freshwater on their sleeve like Aotearoa. Freshwater flows through our national identity: crystal clear mountain streams feeding braided rivers, restful lakes shimmering in the summer heat, creeks trickling through farms and towns alike. Generations have swum, fished, kayaked, gathered kai, or simply sat on their shores.

Since 1991, the Resource Management Act (RMA) has been charged with keeping that inheritance intact. Its purpose is deceptively simple: 'to promote the sustainable management of natural and physical resources'. Behind that phrasing lies an explicit promise, to safeguard the life-supporting capacity of water for present and future generations.

To bring that to fruition, Parliament embedded guardrails within the RMA, specific sections which proscribed what councils couldn't do. Importantly, they were not permitted to make rules or grant consents that

allowed freshwater to become dirty, smelly, unsafe for animals or, most crucially, deadly for aquatic life.

For three decades, those provisions, set out in sections 70 and 107, sat largely untested. Councils readily applied them to direct 'point source' discharges like pipes, outfalls and drains. But they only more recently turned their minds to diffuse discharges, such as when soil from forestry harvesting or nutrients from intensive agriculture wash off the land.

Things radically changed in 2024 when two High Court judgments were issued in quick succession. They said two related things. First, under section 70, councils could not waive the need for a discharge consent unless they were sure significant adverse effects on aquatic life would not result. Second, under section 107, where a discharge consent was needed, it could not be granted if the discharge would likely result in significant adverse effects on aquatic life, even if there was to be an improvement over time.

Together these cases created a furore among farming interests and regional councils. They claimed that thousands of farming consents would be required and farms could even be shut down.

The Government reacted swiftly with two law changes. Below we tell the story of how the Government struck out decades-old freshwater protections.

The law awakens

The saga begins with a High Court decision in March 2024.¹

The case focused on a discharge consent issued by the Canterbury Regional Council to Ashburton Lyndhurst Irrigation Ltd, a farmer-owned cooperative that runs a large irrigation scheme in mid-Canterbury. It authorised the discharge of nitrogen (sourced from animal excretions and fertiliser) which washed down through the soil, entered groundwater, and eventually reached downstream waterways. It also authorised discharges of sediment which washed off the surface of the land.

For years, nitrogen leaching and sediment runoff from irrigated farms had led to significant adverse effects on aquatic life in impacted waterways. The Regional Council renewed the scheme's consent on the understanding that nitrogen leaching would be reduced by 20 percent during the life of the consent, and consequently water quality would improve over time. This followed a long-standing assumption that under section 107, so long as water quality was improving over time, the discharge could be allowed.

The High Court saw it differently. It said that section 107 was clear – it prohibited significant adverse effects on aquatic life as soon as a consent was granted. Adverse effects could not continue, even if they were expected to reduce over the life of the consent. The consent was quashed.

This was no technicality. It went to the heart of how freshwater consents had been issued for decades. The Court stripped away the assumption that consents could allow poor water quality so long as they promised gradual improvement.

Three weeks later, in early April, the High Court made another ruling² on challenges to the Southland Water and Land Plan. This decision held that, before including a permitted activity discharge rule in its plan, the Council must first show that the requirements of section 70 are met. This includes ensuring that the activity (such as farming) would not likely have a significant adverse effect on aquatic life, amongst other things. The Court also confirmed the previous High Court ruling which said that the RMA applies to all discharges including runoff, not just to point source discharges.

Together, the rulings blew open people's understanding of the current law. Freshwater protections were being seriously applied by the Courts to New Zealand's biggest freshwater pollution sources – including intensive dairying.

The shockwaves

The reaction to the decisions was fast and intense.

In mid-April 2024, just a month after the first decision was issued, Canterbury Regional Council warned it could have “wide-ranging impacts on economic activity” and “potentially serious repercussions for the way freshwater improvements are achieved.”

The Council pointed out an apparent misalignment between the RMA and the freshwater national policy statement (which was created under the Act). The latter, it said, recognised the need to drive freshwater improvements within a timeframe that is both ambitious and reasonable – within a generation for example – whereas the “High Court decision tells us that significant adverse effects must be immediately avoided at the time the consent is granted, which is very difficult to achieve.”

It sent a letter to Ministers asking for the urgent amendment of section 107 and for consideration of changes to section 70 as well.

Farmers responded soon after. Dairy NZ, Federated Farmers, and Beef + Lamb NZ (describing themselves as the ‘Farming Interests’) jointly wrote to Associate Agriculture Minister Andrew Hoggard asking for sections 70 and 107 to be amended. This was on the basis that the decisions “will have a significant impact on the efficient and continued operation of a number of industries and activities.”

Their letter stated:

“Since the enactment of the RMA, most parties appear to have accepted that ss 70 and 107 apply to point source discharges only i.e. discharges from an identifiable source, such as a pipe. That ‘conventional approach’ has been how the Farming Interests have approached ss 70 and 107. ... [R]ecent court decisions have moved away from the conventional approach.”

They sought that diffuse discharges be removed from section 70, and that section 107 be amended so that cumulative discharges (including diffuse discharges) can be managed over time.

Resource Management Reform Minister Chris Bishop was quick to seek advice on the issue. In mid-May 2024, Ministry for the Environment officials briefed him on their recommended response. They did not support removing diffuse discharges from the RMA (either section 70 or 107) as this would defeat the core intent of the Act.

They pointed out that, for the first two decades of its operation, councils had not generally applied sections 70 and 107 to diffuse discharges. However, since 2011 (when the first freshwater national policy statement came into effect) they had increasingly done so, although generally with a lighter touch than for discharges from point sources.

In relation to Canterbury Regional Council's economic concerns, officials recommended that section 107 be amended to enable programmed reductions in pollution



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over time, in a way that businesses would find more manageable. However, section 70 was a different matter. Officials considered the second High Court decision to be aligned with the policy intent of section 70, in that “Councils should be satisfied before making permitted activity rules that the impacts of the rule won’t cause any of the adverse effects listed.”

In a softening of its initial stance, and perhaps with some nervousness about the emerging potential of diffuse discharges being removed from the RMA altogether, in early June Canterbury Regional Council sent Ministers a more nuanced follow-up letter acknowledging “the critical role s107/70 plays in providing important protections for the environment”, but also noting “the practical limitations of implementing these provisions as part of an adaptive management framework.”

RMA amendments

Changes to sections 70 and 107 were then made via two amendment bills to the RMA.

The first Amendment Bill

The Resource Management (Freshwater and Other Matters) Amendment Bill, when introduced in late May 2024, did not include any changes to sections 70 or 107.

Despite this, the Primary Production Select Committee heard from several primary industry groups seeking urgent changes to section 107, to ensure their ability to obtain resource consents for farming activities would not be significantly affected by the recent court decisions.

During her presentation to the Select Committee in mid-July for Forest & Bird, Sally Gepp KC asked the Chair whether she needed to address sections 70 and 107. The Chair assured her this was something that would be left “absolutely for another day.”

But that day was not long in coming. Only three weeks later, Agriculture Minister Todd McClay issued a media release headed “Government to clarify discharge consenting”, in which he said the recent High Court decisions on sections 70 and 107 “threaten to make the law unworkable by reducing councils’ ability to manage discharges from a range of activities.”

Minister McClay announced that Cabinet had agreed to make time-critical amendments to section 107 so that councils and consent applicants could have legal clarity, and the certainty they needed to plan ahead. He said:

“This needs to be addressed urgently because a large number of consents could be declined or put on hold, which will cost councils, industry and many primary sector producers, and could mean activities such as large-scale irrigation schemes can’t operate.”

When the Bill was reported back to the House in late September 2024 it included a new subsection (2A) added to section 107, which effectively overrode the High Court decision in relation to significant adverse effects on aquatic life. No notice of the amendment was given to submitters. Nor was any opportunity given to be heard on the matter. Ms Gepp complained to the Speaker of the House but without success.

The amendment allowed councils to grant discharge permits that could result in significant adverse effects on aquatic life, provided they were satisfied that the receiving waters were already subject to such effects, that the permit imposed conditions on the consent, and that those conditions would contribute to a reduction in the effects over the duration of the consent.

During the Bill's second reading, Minister Bishop initially described the change as "quick and dirty", before backtracking to "not quick and dirty, quick and targeted changes to the RMA." The Bill became law on 24 October 2024.

The second Amendment Bill

Three days earlier, on 21 October, Minister McClay had issued another media release, this time about a proposed fix to section 70 "enabling permitted discharge activities to be managed in a practical way" and to "safeguard

permitted activities and restore certainty ... around diffuse discharges."

The 'fix' was included in the Resource Management (Consenting and Other System Changes) Amendment Bill, which was introduced in December 2024. This amended section 70 by adding a new subsection (3). It was effectively an equivalent of subsection (2A) (that had already been added to section 107), applying a similar more lenient approach to significant adverse effects on aquatic life.

In the Select Committee report on this second Amendment Bill in mid-June 2025, the Labour Party said the changes went against its swimmable ambition for polluted rivers, and would harm both New Zealand's environment and economy. The Green Party said that for the first time, since 1991, significant levels of pollution or other adverse effects can be permitted if the receiving water bodies are already significantly polluted.

In their submissions to the Select Committee on the Bill, the Farming Interests and some regional councils (including Waikato) had advocated for the 'reduction over time' approach to be broadened. They wanted to give councils the additional ability to permit discharges that could result in other effects covered by section 70, not just impacts on aquatic life. These variously included production of suspended materials, conspicuous change



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in the colour or visual clarity of a waterbody, or rendering freshwater unsuitable for consumption by farm animals.

The request was not accepted by the Select Committee. Green MP Lan Pham later told the House this was because the Ministry's departmental report on the Bill had advised:

"We do not have the evidence to determine the level of consent burden from those section 70 matters beyond aquatic life. ... There may be an issue with the wider section 70 matters, but without evidence we do not recommend a change at this time. If there is a substantive issue, we recommend this be considered in the wider RMA Reform program ..."

At the Bill's second reading in mid-July 2025 Minister Bishop did not indicate the Government was contemplating further amendments to section 70. But in mid-August Ministers Bishop, McClay and Hoggard issued a media release headed, "Urgent economic action to protect exports".

They said the Government was taking urgent action to prevent what could have amounted to a 'stop work' notice for thousands of New Zealand farmers. They cited approximately 2,800 Waikato farms that would require resource consents for routine on-farm activities if changes weren't made.

The Ministers said that the Bill would therefore be further amended to broaden what water discharges could be allowed as a permitted activity, although with a pathway of continuous improvement in water bodies.

The Ministers' changes were set out in Amendment Paper No 348, which was released on 12 August just hours before it (and the Select Committee version of section 70) were considered in the House. Opposition MPs had to debate substantive changes at extremely short notice.

During the debate, Green MP Lan Pham asked Minister Bishop why the amendment was being made when there was no evidence to support it. He said that during the Select Committee process there had been a paucity of evidence on the matter, but advised that in the last couple of weeks it had become clear through correspondence from the Waikato Regional Council that if a change was not made, over 2,500 extra farm consents would be required. Other councils had raised similar concerns, he said.

Urgency in action

The Amendment Paper came across as emergency action to protect the economy, prompted by information received from the Waikato Regional Council in recent weeks.

But this wasn't quite the reality. The Council had started emailing Ministry officials five months earlier about the section 70 issue. It had already requested changes in its submission to the Select Committee, to broaden the section to also permit conspicuous change in the colour or visual clarity of a waterbody, and the rendering of freshwater unsuitable for consumption by farm animals.

The Council had started contacting the Ministry again as soon as the Select Committee reported and wrote to Ministers on 19 June 2025.

What's more, Minister Bishop had already specifically considered the Council's position, including that approximately 2,800 Waikato farms would require consents in the absence of the amendments, as communicated to him in the 19 June letter. In reply to that letter, he wrote to the Council on 24 July saying he had given careful thought to whether the matter could be progressed through the Amendment Bill, but that:

"... the proposed changes raise a high degree of policy complexity, and the implications of recent court decisions are still being worked through. It is important that we take the time to fully understand the impacts before making changes to legislation.

At this late stage in the process, I do not intend to make further amendments through Bill 2. Passing the Bill is a priority, and introducing complex changes now could put that timeline at risk.

That said, I do believe that the issue you have raised is an important one. I believe it could be considered as part of Phase 3 of the wider resource management reform programme, which is designed to tackle more complex and system-wide issues like this.

In the meantime, I encourage you to continue your work to better define the scale of the problem and to explore other potential solutions. Your input will be valuable as we progress the next phase of reform."

So how, less than three weeks after telling Waikato Regional Council that the issue would need to wait, did Amendment Paper No 348 come about?

The final push

Notwithstanding Minister Bishop's letter, the Council continued lobbying for its requested changes at both Ministry and political levels.

During the four-day window prior to Amendment Paper No 348 being introduced, the Council got its way, and decades-old freshwater protections were written out of the RMA.

At 4 pm on Friday 8 August 2025, Ministry for the Environment officials attended a virtual meeting with the Prime Minister's Office and the policy advisory group of the Department of Prime Minister and Cabinet to discuss Waikato Regional Council's request to change section 70. The matter was now drawing high level political attention in the Beehive.

At 8.47 pm a Ministry official emailed Minister Bishop's office seeking a yes/no decision to expand the scope of the section 70 amendment in the Bill as requested by Waikato Regional Council. With reference to concerns from other councils, the email said:

“We understand that Southland Regional Council’s concerns are addressed by the existing amendment, and that no other councils are likely to be impacted in the medium term, because the freshwater stop plan is in place.

MfE has not assessed the likely effects on the environment of making these amendments, but has previously advised that there is potential for ongoing environmental degradation (BRF-6403 [of 1 July 2025] refers).

MfE has not considered any treaty implications of the proposed change, including any implications for the Waikato-Tainui settlement.

We do not recommend that other matters in s70 that restrict when a council can use a permitted activity rule be amended.”

At 9.09 am the following Monday morning, Minister Bishop’s office emailed the Ministry official saying there were now questions as to whether the section 70 amendment should be broadened to respond to previous requests by Environment Southland to “exclude” suspended sediment. (In fact, Environment Southland had actually asked for suspended sediment/materials to be included in an ‘improvement over time’ provision, not excluded completely.)

Let’s pause here for a moment. In November 2024, after the second High Court decision, Environment Southland (ie Southland Regional Council) had written to Ministers seeking changes to section 70 and then submitted similarly to the Select Committee. It wanted to be able to include rules in its plan that permitted discharges that might result in significant adverse effects on aquatic life, suspended materials or any conspicuous change in the colour or visual clarity, in circumstances where there was ongoing environmental improvement.

The Select Committee considered but did not support broadening of changes to section 70 beyond significant adverse effects on aquatic life, due to a lack of evidence. This was an outcome consistent with Minister Bishop subsequently advising Waikato Regional Council that “complex changes” were not suitable for resolution via the Amendment Bill.

Nonetheless, at 10.48 am on that Monday morning, 11 August 2025, a Ministry official replied with a one-page email headed “Removing or providing an exemption for suspended sediment requirements in RMA s70”, saying:

“The environmental impact of this change is not likely to be significant in the short term as there are requirements for the management of sediment in the NPS-FM [National Policy Statement for Freshwater Management], but we note we have not had time to undertake any analysis.

The urgency of this change is unknown, Environment Southland did request sediment be included in their submission, however it was adverse effects on aquatic life which the Courts indicated as [a] barrier. We have not

contacted Environment Southland but expect they would say removing sediment protections from s70 would help reduce the risk of requiring resource consent.”

The official put forward three options for removing or changing suspended sediment considerations in section 70. The preferred option was to delete “or floatable or suspended materials” from the section. Another option was to apply the aquatic life ‘improvement over time’ exemption also to floatable or suspended materials (ie what Environment Southland had asked for).

At 11.38 am the same day the Minister’s office emailed Ministry officials confirming that Minister Bishop had agreed to further amend section 70. The email continued:

“He has already directed further changes to s 70(1)(c) to exclude suspended sediments.

Please see this email as a formal approval and decision to instruct PCO [Parliamentary Counsel Office] on the further changes to S 70.”

So, just like that, suspended sediments were removed from consideration under section 70. The paper trail shows that within a very compressed timeframe, and with limited recorded analysis, Minister Bishop struck out a decades-old freshwater protection measure. A change that on the documentation no one appeared to have even asked for.

The cautious and considered approach to the section 70 issue just 18 days earlier looks to have been put to the side in a last-minute flurry.

The second RMA Amendment Bill became law on 20 August 2025. In its final form, it broadened the ‘reduction over time’ approach in section 70 to allow permitted discharges that could result in a conspicuous change in the colour or visual clarity of a waterbody, a waterbody being unsuitable for consumption by farm animals, or a significant adverse effect on aquatic life. It also deleted the reference in section 70 to suspended materials (which includes sediment) as per Minister Bishop’s final instructions.

A system in need of repair

The consequences of these last-minute changes stretch well beyond the technicalities of statutory drafting. They speak to the integrity of the freshwater management regime itself. Section 70 was designed to be a bulwark – a clear, bright-line protection against activities that could degrade the nation’s waterways. When that protection is weakened, the effects cascade: more pollution can occur without consent and monitoring, and the public loses visibility over decisions that affect their waterways.

The amendments appear to have been justified under the banner of urgent economic action, yet the urgency looks political rather than evidential. No detailed environmental analysis for the section 70 changes is

evident on the documentation. In the space of a few days (and in the case of suspended sediment, in the space of a few hours) important statutory safeguards were dismantled. What should have been a matter for careful consultation and parliamentary due process became a case study in how not to legislate for the environment.

The changes also leave the law in an incoherent state. Sections 70 and 107 were always intended to operate as a pair: one governing permitted activities, the other governing consents. They historically mirrored each other, ensuring that discharges with the potential to degrade freshwater were managed with the same bottom-line expectations.

The rushed amendments break that symmetry. Discharges that would trigger close scrutiny at the consenting stage (under section 107) can now evade it as permitted activities under section 70. Suspended sediment – one of the most pervasive and damaging

- pollutants in our rivers – is inexplicably removed from consideration altogether at the permitted activity stage. And the ‘reduction over time’ allowance, developed specifically for complex diffuse nitrogen issues, now applies to short-term and easily observable discharges for which delay in their reduction is neither necessary nor justified under section 70.

- Freshwater is central to who we are as a country. It sustains ecosystems, communities, cultural identity and economic wellbeing. It deserves legislation crafted with care and based on evidence. This story has shown how vulnerable our environmental protections have become, when democratic safeguards are bypassed, and highlights the vulnerability of the democratic process itself.

- *This report was updated on 27 February 2026 in relation to the Farming Interests’ position on diffuse discharges.*



Wairau River, Blenheim Raewyn Peart

Endnotes

- 1 *Environmental Law Initiative v Canterbury Regional Council* [2024] NZHC 612
- 2 *Federated Farmers Southland Incorporated v Southland Regional Council* [2024] NZHC 726